deposits of the banking system increased by about ₹6,720 billion during this period.

As banks, flush with funds, lowered deposit rates, savers moved funds into other financial instruments, notably mutual funds and insurance products, as shown in Table 6 below:

Table 6: Inflows into Mutual Funds and Insurance Premium

Category	November 2015–January 2016	November 2016–January 2017	YoY Growth
Mutual Funds	–311.9	1,007.6	>1,000 %
Insurance Premia[27]	396	533	34.5 %

Source: Extracted from RBI Report 'Macroeconomic Impact of Demonetization – a Preliminary Assessment', dated 10 March 2017, data drawn from SIBI and IRDA, Table 10 (p. 21) and Table 11 (p. 22)

This shift by individuals and households to more formal financial savings in the form of bank deposits, life insurance products, shares, debentures and mutual funds is a positive development, and a definite benefit of demonetization. These savings could, in principle, help capital formation, if invested in machinery, equipment, factories and other productive assets.

One should note, however, that 'banks-were-flush-with-cash' for only a temporary period. As depositors had been forced to deposit their cash but could withdraw only a limited amount, their money had effectively been impounded. But when the situation normalized, and the restrictions on withdrawals were removed, people started withdrawing cash. The growth in bank deposits, which rose to 11.3 per cent because of demonetization in 2016–17, fell sharply to 6.2 per cent in 2017–18, the lowest growth rate in the past 10 years.